

MERIDIAN & ASSOCIATES LLP

Audit & Assurance Practice

Going Concern Evaluation Procedures

Evaluation Framework Under PCAOB AS 2415 / ISA 570
Management Assessment, Cash Flow Analysis, and Disclosure

Document ID: MA-AA-GC-2026-009

Version: 2.0

Effective Date: February 20, 2026

Classification: CONFIDENTIAL

Approved By: National Assurance Quality Board

Next Review: January 2027

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1. Purpose and Regulatory Framework

This document establishes the procedures for evaluating whether there is substantial doubt about an entity's ability to continue as a going concern for a reasonable period of time, which under U.S. GAAP (ASC 205-40) is defined as one year after the date the financial statements are issued (or available to be issued). The procedures apply to all audit engagements performed by Meridian & Associates LLP, regardless of entity size, industry, or listing status.

The framework aligns with the following authoritative guidance:

- PCAOB AS 2415 -- Consideration of an Entity's Ability to Continue as a Going Concern: Establishes the auditor's responsibility in a PCAOB audit to evaluate conditions and events that raise substantial doubt.
- ISA 570 (Revised) -- Going Concern: The international equivalent, applicable to non-SEC engagements, with a broader look-forward period and different reporting requirements.
- ASC 205-40 -- Presentation of Financial Statements -- Going Concern: Management's responsibility to evaluate going concern and provide required disclosures under U.S. GAAP.
- ASC 205-40-50 -- Disclosure requirements when conditions or events raise substantial doubt about an entity's ability to continue as a going concern, including management's evaluation and plans.

2. Identifying Conditions and Events

2.1 Risk Indicators Requiring Evaluation

The engagement team evaluates whether conditions or events, considered in the aggregate, raise substantial doubt about the entity's ability to continue as a going concern. The following categories of indicators are assessed at planning, during fieldwork, and at the conclusion of the audit:

- Financial Indicators: Negative trends in key financial metrics -- recurring operating losses, working capital deficiencies, negative operating cash flows, adverse key financial ratios (e.g., debt-to-equity, interest coverage, current ratio below covenant thresholds), inability to obtain financing for essential capital expenditures.
- Operational Indicators: Loss of a key customer, supplier, or license; uninsured or underinsured catastrophic losses; labor shortages or work stoppages; dependence on the success of a single product or project; material supply chain disruptions.
- External Indicators: Legal proceedings, regulatory actions, or tax assessments that could jeopardize continued operations; loss of a key patent or franchise; changes in legislation or governmental policy adversely affecting the entity (e.g., tariffs, sanctions, environmental regulations).
- Debt and Covenant Indicators: Default on debt obligations, breach of debt covenants without waiver, denial of usual trade credit by suppliers, renegotiation of debt terms with less favorable provisions, approaching maturity of debt without realistic refinancing prospects.

2.2 Information Sources

The engagement team draws on the following sources when identifying going concern indicators:

- Interim financial information available subsequent to the balance sheet date.
- Budgets, forecasts, and cash flow projections prepared by management.
- Minutes of board of directors, audit committee, and finance committee meetings.
- Publicly available information: analyst reports, credit rating agency actions, SEC filings, regulatory orders, and press coverage.
- Inquiry of management, including the CEO, CFO, and legal counsel regarding plans to address adverse conditions.
- Inquiry of the entity's legal counsel regarding litigation, claims, and assessments.
- Meridian's proprietary fraud risk model (for indicators of financial stress that correlate with going concern risk).

3. Evaluating Management's Assessment

Under ASC 205-40, management is required to evaluate whether there are conditions or events that raise substantial doubt about the entity's ability to continue as a going concern. The engagement team evaluates the following aspects of management's assessment:

- **Completeness:** Whether management has identified all relevant conditions and events, including those identified by the audit team that management may not have considered.
- **Reasonableness of Assumptions:** Whether the key assumptions underlying management's cash flow projections and mitigation plans are reasonable and supportable. The team applies professional skepticism to management's estimates of future revenue growth, cost reductions, asset dispositions, and refinancing capabilities.
- **Feasibility of Management's Plans:** Whether management's plans to mitigate the adverse conditions are both feasible and likely to be effectively implemented within the relevant time frame. Plans that depend on actions by third parties (e.g., new financing, waivers from lenders, sales of business units) are evaluated for the probability of execution.
- **Historical Accuracy:** Comparison of management's prior-period forecasts to actual results to assess the reliability of management's projections.

4. Cash Flow Analysis Procedures

Cash flow analysis is the cornerstone of the going concern evaluation. The engagement team performs the following procedures on management's cash flow projections:

- Obtain management's detailed cash flow projections for at least the 12-month period following the expected financial statement issuance date. Projections should be presented on a monthly or weekly basis where liquidity is tight.
- Trace key assumptions to supporting evidence: revenue forecasts to signed contracts and backlog reports, cost assumptions to recent actual expenditures, capital expenditure plans to board-approved budgets, and debt service to loan agreements.
- Perform sensitivity analysis on key assumptions. As a minimum, the team models a downside scenario using assumptions 15-25% less favorable than management's base case for revenue and 10-15% more unfavorable for costs. If the entity remains viable under reasonable downside scenarios, the going concern risk is reduced.
- Evaluate the adequacy of available financing: verify borrowing availability under existing credit facilities (including compliance with borrowing base and financial covenant requirements), assess the probability of refinancing maturing debt, and consider the entity's access to capital markets.
- Assess the timing and amount of discretionary cash flows: evaluate management's ability and willingness to defer discretionary expenditures (capital investments, share repurchases, dividends) to preserve liquidity.

5. Debt Covenant Review

Debt covenant compliance is a critical element of the going concern evaluation. The engagement team performs the following procedures:

- Obtain and read all significant debt agreements, including term loans, revolving credit facilities, private placement notes, bond indentures, and capital lease obligations.
- Identify all financial and non-financial covenants, including maintenance covenants (tested periodically) and incurrence covenants (tested at the time of specified events).
- Recalculate covenant compliance ratios as of the balance sheet date and for each projected measurement date within the look-forward period.
- Evaluate projected covenant compliance under both management's base case and the auditor's downside scenario. Identify periods where covenant breaches are projected or reasonably possible.
- For existing covenant violations: obtain and review waiver letters from lenders, assessing whether the waiver covers a sufficient period and whether the entity can comply with any modified covenant terms.
- Assess cross-default provisions that could accelerate other debt obligations if a covenant is breached on any single agreement.

6. Subsequent Events Consideration

Events occurring after the balance sheet date but before the issuance of the financial statements may provide evidence relevant to the going concern evaluation. The engagement team performs the following subsequent events procedures specifically related to going concern:

- Review interim financial statements, management accounts, and board meeting minutes for the post-balance-sheet period.
- Inquire of management regarding new debt defaults, loss of customers or suppliers, regulatory actions, and significant litigation developments.
- Review subsequent financing activity: new credit facilities, debt issuances, equity raises, or asset sales that may alleviate going concern doubt.
- Consider subsequent adverse events: bankruptcy filings by significant customers, unfavorable court rulings, loss of a key contract, or macroeconomic developments that worsen the entity's outlook.
- Evaluate whether subsequent events represent Type I events (conditions existed at the balance sheet date) or Type II events (conditions arose after the balance sheet date) and their implications for going concern disclosure.

7. Disclosure Requirements and Audit Reporting

7.1 Substantial Doubt Exists -- Mitigated by Management's Plans

If, after considering management's plans, the auditor concludes that substantial doubt is alleviated, the entity is required under ASC 205-40-50-12 to disclose: (a) the conditions or events that raised the doubt, (b) management's evaluation of the significance of those conditions, and (c) management's plans that alleviated the doubt. The auditor evaluates the adequacy of these disclosures. No modification to the auditor's report is required under U.S. GAAS, although the engagement team should consider whether an emphasis-of-matter paragraph is appropriate.

7.2 Substantial Doubt Exists -- Not Mitigated

If substantial doubt remains after considering management's plans, the entity must disclose the conditions, management's evaluation, and management's plans (ASC 205-40-50-13 through 50-14). Additionally, the entity must include a statement that there is substantial doubt about its ability to continue as a going concern within one year. The auditor's report must include an emphasis-of-matter paragraph under PCAOB AS 2415.12 or a 'Material Uncertainty Related to Going Concern' section under ISA 570.

7.3 Inadequate Disclosure

If the entity fails to include required going concern disclosures, the auditor considers the impact on the audit opinion. A material omission of required disclosures ordinarily results in a qualified or adverse opinion.

8. Communication with the Audit Committee

The engagement partner communicates the following matters to the audit committee in connection with the going concern evaluation:

- The conditions or events identified that raise substantial doubt.
- The engagement team's evaluation of management's assessment and plans.
- The key assumptions and their sensitivity in management's cash flow projections.
- The expected effect on the auditor's report, including any emphasis-of-matter or going concern paragraphs.
- Recommendations regarding the adequacy of the entity's going concern disclosures.
- Where applicable, the effect of going concern uncertainties on other audit areas, including impairment of long-lived assets (ASC 360), recoverability of deferred tax assets (ASC 740), and fair value measurements (ASC 820).

Communication with the audit committee is documented in the engagement file and referenced in the firm's AS 1301 communication letter. For SEC registrant audits, the engagement partner also considers whether the going concern uncertainty represents a Critical Audit Matter (CAM) requiring disclosure in the auditor's report under PCAOB AS 3101.

9. Engagement File Documentation

The engagement team documents the going concern evaluation in a standalone memorandum (Form MA-GC-001) that includes:

- A description of the conditions and events identified, including their individual and aggregate significance.
- The engagement team's evaluation of management's assessment and the evidence supporting the evaluation.
- A summary of the cash flow analysis, including base case and downside scenario results.
- The debt covenant compliance analysis and evaluation of waiver adequacy (if applicable).
- A description of subsequent events considered and their impact on the evaluation.
- The engagement team's conclusion on whether substantial doubt exists and whether it is alleviated by management's plans.
- The basis for the engagement team's determination regarding the effect on the auditor's report.
- Documentation of communications with the audit committee and management regarding the going concern evaluation.